IN THE NATIONAL COMPANY LAW TRIBUNAL

KOLKATA BENCH

KOLKATA

CA(CAA) NO. 601/KB/2019

In the matter of:

An application under Section 230 – 232 of the Companies Act, 2013 read with (Compromises, Arrangements and Amalgamations) Rules, 2016.

AND

In the matter of :

M/S. ORISSA METALIKS PRIVATE LIMITED, a Company incorporated under the Companies Act, 1956 and having its registered office at 1, Garstin Place, Orbit House, 3rd Floor, Room No. 3B, Kolkata 700001, West Bengal within the aforesaid jurisdiction.

Resulting Company/Applicant No. 1

AND

In the matter of :

M/S. RASHMI METALIKS LIMITED, a Company incorporated under the Companies Act, 1956 and having its registered office at 39, Shakespeare Sarani, 6th Floor, Kolkata 700017, West Bengal, within the aforesaid jurisdiction.

Demerged Company/ Applicant No. 2

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AND

In the matter of:

1. M/S. ORISSA METALIKS PRIVATE LIMITED : (RESULTING COMPANY)

2. M/S. RASHMI METALIKS LIMITED : (DEMERGED COMPANY)

... APPLICANTS

Coram: Shri Jinan K.R., Hon'ble Member (Judicial) & Shri Harish Chander Suri, Hon'ble Member (Technical)

Counsel appeared :

MS. RAJ KUMAR BANTHIA, PCS] For the Applicant

Date of pronouncement of Order : 10/06/2019

ORDER

Per *Shri Harish Chander Suri, Member(Technical)*

1. This application has been filed by the Applicant Companies namely **M/S. ORISSA METALIKS PRIVATE LIMITED** (hereinafter referred to as **"Resulting Company"**) **and M/S. RASHMI METALIKS LIMITED**, (hereinafter referred to as **"Demerged Company")** under Section 230 to 232 of the Companies Act 2013 read with relevant rules, for

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obtaining sanction of this Tribunal regarding scheme of Arrangement and demerger, proposed to be made between the Resulting Company and the Demerged Company whereby and where under, the entire undertakings of the Demerged Company together with all assets and liabilities relating thereto as going concerns, are proposed to be transferred to and vested in the "Resulting Company" on the terms and conditions fully stated in the Scheme of Arrangement, a copy whereof is annexed with the Application marked as **"Annexure D"** pages 327 to 364.

2. It is stated in the application that a Project at Nayagarh Railway Siding was started by Rashmi Metaliks Limited (RML) more than 10 years ago keeping in view the increasing global demand of iron ore and for the requirement of MS Billet but the project could not be completed in time due to provisional / final approvals/permissions pending from different government authorities and the global demand of iron ore in the present market scenario being sluggish and due to time taking of final approvals/permissions from different government authorities, RML/the Demerged Company has decided to demerge its Nayagarh Railway Siding undertaking. RML has alternative plan, to improve its logistics which will also help the company reduce its costs.

3. It is further stated in the application that Orissa Metaliks Private Limited (OMPL)/the Resulting Company procures iron ore mostly from Odisha. OMPL shall complete the railway siding undertaking and use the same to meet its logistics requirements. OMPL will be beneficial in taking over

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the railway siding undertaking as it will cater to its logistics requirement for iron ore and MS Billets. It will also help OMPL to reduce its cost on logistics. OMPL is hopeful to get all the permissions/sanctions to complete the project and make it operational which will enable the Board of Directors of both companies to focus on their respective business without any dependence on each other. This will result in overall efficiency and growth in business of both the companies.

4. It is further stated in the application that the **Board of Directors** of both the Applicant Companies have, at their respective **meetings held on 15th day of January, 2019** by resolutions passed unanimously, approved a Draft Scheme of Arrangement and demerger of RML with OMPL whereby and whereunder the entire undertaking of the Demerged Company with all assets and liabilities relating thereto as a going concern is proposed to be transferred to and vested in Resulting Company. Copies of the Board Resolution passed by both the Applicant Companies as on 15th day of January, 2019 is annexed with the application marked as **Annexure – "C"** pages 323 to 326.

5. It is further stated in the application that as on 30.11.2018 OMPL is stated to have one secured creditor amounting to Rs. NIL and 29 unsecured creditors amounting to Rs. 2,54,33,45,403.87 (Rupees Two Fifty Four crores Thirty Three Lacs Forty Five Thousand Four Hundred Three and Paise Eighty Seven Only). A list of secured creditors and a list of unsecured creditors duly certified by the Statutory Auditor is annexed with the application marked as **Annexure "F1" & "F2"**. Consent affidavits from 26 out of 29 unsecured creditors constituting 99.57% in

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value have been obtained. Under sub-section (9) of Section 230 of Companies Act, meeting of creditors can be dispensed with if creditors having at least 90% in value agree by way of affidavit in favour of the Scheme. **A certificate from the Statutory Auditor specifying the class of creditors of the Resulting Company is annexed with the application marked as Annexure "F-3".**

6. It is further stated in the application that as on 30.11.2018, RML has two secured creditors amounting to Rs. 36,38,496.02 (Rupees Thirty Six Lacs Thirty Eight Thousand Four Hundred Ninety Six and Paise Two Only) and 25 unsecured creditors amounting to Rs. 2,82,67,72,338.36 (Rupees Two Hundred Eighty Two Crores Sixty Seven Lacs Seventy Two Thousand Three Hundred Thirty Eight and Paise Thirty Six Only). A list of creditors duly certified by the statutory Auditor is annexed to the application marked as **Annexure "G1".** Consent affidavits from 2 secured creditors and 23 out of 25 unsecured creditors constituting 99.70% in value have been obtained. Under sub-section (9) of Section 230 of Companies Act, meeting of creditors can be dispensed with if creditors having at least 90% in value agree by way of affidavit in favour of the Scheme. **A certificate from the Statutory Auditor, specifying the class of Creditors of the Demerged Company is annexed with the application marked as Annexure "G-2".**

7. It is further stated in the application that as on 30.11.2018, OMPL has 46 shareholders and RML has 42 shareholders. A list of shareholders duly certified by the Statutory Auditor along with affidavits, have accorded their consent to the proposed scheme of arrangement and demerger is

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annexed to the application marked as **Annexures "H-1" & "I-1"** respectively. A certificate from the Statutory Auditor, specifying the class of shareholders of the Resulting Company is annexed with the application marked as **Annexures "H-2" and "I-2"** respectively.

8. It is further stated in the application that the accounting treatment contained in the aforesaid Scheme is in compliance with all the applicable Accounting Standards specified under Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014. A certificate u/s 230(7) confirming the same by M/s. M. Jhawar & Co., Chartered Accountants are annexed with the application marked as **Annexure "J".**

9. Having perused the application and concerned documents annexed to the application, including the scheme of Arrangement and having heard the submissions made by Ld. Counsel on behalf of the applicants, the following orders are passed herein:

a) In view of the consent given in affidavit form by all the Shareholders of the Resulting Company and the Demerged Company, meeting of shareholders of the Resulting Company and Demerged Company are hereby dispensed with.

b) In view of the fact that as affidavit from 26 out of 29 unsecured creditors of OMPL constituting 99.57% in value and 2 secured creditors, and 23 out of 25 unsecured creditors of RML constituting 99.70% in value have given their consent by way of

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affidavits holding separate meetings of the Secured and unsecured Creditors of the Applicant Companies does not arise, hence dispensed with.

c) The Petitioner Companies shall serve notice of the petition on the following authorities, namely,

(i) Central Government, through the Regional Director, Eastern Region, Ministry of Corporate Affairs, Kolkata,

(ii) Registrar of Companies, West Bengal;

(iii) Reserve Bank of India, if applicable;

(iv) The Income Tax Department of the office having jurisdiction over the respective petitioner companies,

(v) The Official Liquidator High Court, Calcutta pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules 2016 with suitable changes in the notice relating to waiver of meetings and such other relevant and sectoral regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme by sending the same by hand delivery through special messenger or by registered post or speed post within 7 days from the date of this order for filing their representations, if any, on the petition. Notice along with

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the copy of the application and other related documents with PAN Numbers of the Applicant Companies should be served upon the Chief Commissioner of Income Tax Department by e-mail and Speed Post or by Messenger. Petitioner Companies are also directed to mention their respective PAN Numbers everywhere.

(vi) The notice shall specify that representations, if any should be filed before this Tribunal within 30 days of date of receipt of the notice with a copy of such representations being sent simultaneously to the Petitioners and/or their Authorized Representatives. If no such representations is received by the Tribunal within the said period, it shall be presumed that such authorities have no representations to make on the Scheme of Arrangement.

(vii) All Petitioner Companies **at least 7 days before** the date of hearing of the petition shall file **affidavit of service of notices** on the Authorities specified above including the Sectoral Regulators.

(viii) The authorized representative of the Applicant Company shall furnish an affidavit of compliance of all directions contained. The applicants are directed to file **confirmation petition** within **four weeks** from the date of the order.

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(ix) That the Resulting Company and the Demerged Company shall affirm by way of affidavit that no investigation or proceedings under the Companies Act 1956 or Companies Act, 2013 have been instituted or are pending in relation to the Resulting Company and Demerged Company.

10. The application being **CA (CAA) No. 601/KB/2019** is **disposed of** accordingly.

11. There shall be no orders as to costs.

12. Urgent certified copies of this Order, if applied for, be supplied to the parties upon compliance of all requisite formalities.

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(Harish Chander Suri)
Member (T)

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10/6/19

(Jinan K. R.)
Member (J)

Signed this 10th day of June, 2019

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